

House File 1028

S-3170

1 Amend House File 1028, as amended, passed, and reprinted by
2 the House, as follows:

3 1. By striking everything after the enacting clause and
4 inserting:

5 <Section 1. Section 8.57C, subsections 2, 3, and 4, Code
6 2025, are amended to read as follows:

7 2. Moneys in the fund in a fiscal year shall be used as
8 appropriated by the general assembly ~~for the acquisition~~
9 ~~of computer hardware and software, software development,~~
10 ~~telecommunications equipment, and maintenance and lease~~
11 ~~agreements associated with technology components and for the~~
12 ~~purchase of equipment intended to provide an uninterruptible~~
13 ~~power supply to the department of management to provide~~
14 a stable funding source for implementation costs of state
15 information technology projects that enhance the state's
16 technology infrastructure, improve government services,
17 and promote innovation and economic development, including
18 but not limited to new information technology projects
19 and infrastructure replacement efforts of a department or
20 establishment.

21 3. a. The department of management shall prioritize
22 proposed projects based on all of the following considerations:

23 (1) Whether the project aligns with the state's strategic
24 priorities.

25 (2) Whether the project promotes or introduces new
26 technology or significantly improves an existing system.

27 (3) Whether the project is feasible and whether the
28 department or establishment has established readiness for the
29 project to proceed, including a clear assessment of timelines,
30 budgets, and measurable outcomes.

31 (4) Whether the project includes a clear change management
32 strategy to support user adoption and aligns with lean
33 enterprise principles to maximize value, minimize waste, and
34 ensure continuous improvement.

35 (5) Whether the project provides a positive return on

1 investment, considering both financial returns and nonfinancial
2 benefits such as improved public safety, education, or health
3 care.

4 (6) Whether the project results in infrastructure that is
5 scalable across the state enterprise.

6 (7) Whether the department or establishment has identified
7 how the completed project will be sustained beyond the initial
8 funding period.

9 (8) Whether the project improves access to governmental
10 services, particularly in rural communities.

11 (9) Whether the project involves an infrastructure project
12 as opposed to maintenance or standard upgrades of existing
13 technology.

14 b. The department of management shall provide a prioritized
15 list of proposed projects for funding to the governor, who
16 shall use the list in developing a budgetary recommendation
17 for the general assembly pursuant to section 8.21 for the
18 fiscal year beginning July 1, 2026, and for each fiscal year
19 thereafter.

20 ~~3. a. There is appropriated from the general fund of the~~
21 ~~state to the technology reinvestment fund for the fiscal year~~
22 ~~beginning July 1, 2025, and for each subsequent fiscal year~~
23 ~~thereafter, the sum of seventeen million five hundred thousand~~
24 ~~dollars.~~

25 ~~b. There is appropriated from the rebuild Iowa~~
26 ~~infrastructure fund for the fiscal year beginning July 1, 2023,~~
27 ~~and ending June 30, 2024, the sum of eighteen million three~~
28 ~~hundred ninety thousand two hundred ninety dollars to the~~
29 ~~technology reinvestment fund, notwithstanding section 8.57,~~
30 ~~subsection 3, paragraph "c".~~

31 ~~c. There is appropriated from the rebuild Iowa~~
32 ~~infrastructure fund for the fiscal year beginning July 1, 2024,~~
33 ~~and ending June 30, 2025, the sum of twenty-one million one~~
34 ~~hundred thirty-one thousand eight hundred seventy-three dollars~~
35 ~~to the technology reinvestment fund, notwithstanding section~~

1 ~~8.57, subsection 3, paragraph "c".~~

2 c. Notwithstanding section 8.33, moneys in the technology
3 reinvestment fund that remain unencumbered or unobligated at
4 the close of a fiscal year shall not revert but shall remain
5 available for expenditure for the purposes designated until
6 the close of the fiscal year that ends two years after the
7 end of the fiscal year for which the appropriation was made.
8 Notwithstanding section 12C.7, subsection 2, interest or
9 earnings on moneys in the fund shall be credited to the fund.

10 4. ~~Annually, on~~ On or before January 15 of each year, a
11 ~~state agency that received an appropriation from this fund~~
12 the department of management shall report to the legislative
13 ~~services agency and the department of management general~~
14 assembly the status of all projects funded under this section
15 that have been completed since the previous report was
16 submitted or that are in progress. The report ~~shall~~ must
17 include a description of the project, the progress of work
18 completed, the total estimated cost of the project, a list of
19 all revenue sources being used to fund the project, the amount
20 of ~~funds~~ moneys expended, the amount of ~~funds~~ moneys obligated,
21 and the date the project was completed or an estimated
22 completion date of the project, where applicable.

23 Sec. 2. Section 8.78, Code 2025, is amended to read as
24 follows:

25 **8.78 Background checks.**

26 An applicant for employment with the department, or
27 an applicant for employment with a supported entity for a
28 position as information technology staff, may be subject to a
29 background investigation by the department. The background
30 investigation may include, without limitation, a work history,
31 financial review, request for criminal history data, and
32 national criminal history check through the federal bureau of
33 investigation. In addition, a contractor, vendor, employee, or
34 any other individual performing work for the department, or an
35 individual on the information technology staff of a supported

1 entity, may be subject to a national criminal history check
2 through the federal bureau of investigation at least once
3 every ~~ten~~ five years, including, without limitation, any time
4 the department or supported entity has reason to believe an
5 individual has been convicted of a crime. The department may
6 request the national criminal history check and, if requested,
7 shall provide the individual's fingerprints to the department
8 of public safety for submission through the state criminal
9 history repository to the federal bureau of investigation.
10 The individual shall authorize release of the results of the
11 national criminal history check to the department and the
12 applicable supported entity. The department shall pay the
13 actual cost of the fingerprinting and national criminal history
14 check, if any, unless otherwise agreed as part of a contract
15 between the department or supported entity and a vendor or
16 contractor performing work for the department or supported
17 entity. The results of a criminal history check conducted
18 pursuant to [this section](#) shall not be considered a public
19 record under [chapter 22](#).

20 Sec. 3. NEW SECTION. **8.94 Contracts — prohibited terms.**

21 Provisions included in a contract entered into pursuant to
22 this subchapter that impose terms or conditions prohibited by
23 this section are void as contrary to public policy. Such a
24 contract shall be interpreted and enforced as if the contract
25 did not include the prohibited terms or conditions. Prohibited
26 terms and conditions include all of the following:

27 1. A provision requiring the department or a supported
28 entity to defend, indemnify, hold harmless another person, or
29 otherwise assume the debt or liability of another person in
30 violation of Article VII, section 1, of the Constitution of the
31 State of Iowa.

32 2. A provision that seeks to impose a term that is unknown
33 to the department or supported entity at the time of signing
34 the contract or that can be unilaterally changed by an entity
35 other than the department or a supported entity.

1 3. A provision that violates chapter 13 by not allowing
2 the department or a supported entity to participate in its own
3 defense through representation by the attorney general.

4 4. A provision that grants to a person other than the
5 attorney general the authority to convey to a court or litigant
6 the state's consent to any settlement of a suit involving the
7 contract when such settlement could impose liability on the
8 state.

9 5. A provision that specifies that the contract is governed
10 by the laws of a foreign state or nation.

11 6. A provision that claims blanket confidentiality of the
12 contract's terms.

13 7. A provision that claims that payment terms, including but
14 not limited to cost proposals or other pricing information, of
15 the contract are confidential.

16 8. A provision that authorizes or requires a venue for
17 litigation other than an appropriate state or federal court
18 sitting in Iowa.

19 9. A provision that requires the department or a supported
20 entity to pay attorney fees, court costs, or other litigation
21 expenses in the event of a contractual dispute.

22 10. A provision that imposes on the department or a
23 supported entity binding arbitration or any other binding
24 extrajudicial dispute resolution process in which the final
25 resolution is not determined by the state.

26 11. A provision that waives the department's or a supported
27 entity's right to a jury trial.

28 12. A provision that obligates the department or a supported
29 entity to pay late payment charges not consistent with section
30 8A.514, interest greater than allowed under section 8A.514 or
31 other applicable law, or any cancellation charges, as such
32 charges constitute pledges of the state's credit.

33 13. A provision that obligates the department or a supported
34 entity to pay a tax.

35 14. A provision that imposes a prior notice obligation

1 on the department or a supported entity as a condition for
2 the automatic renewal of a software license. The department
3 or a supported entity may provide notice of its intent to
4 terminate a software license at any time before the renewal
5 date established in the contract.

6 15. A provision that obligates the department or a supported
7 entity to accept risk of loss before the receipt of items or
8 goods.

9 16. A provision that obligates the department or a supported
10 entity to have commercial insurance.

11 17. A provision that obligates the department or a supported
12 entity to grant to a nongovernmental entity full or partial
13 ownership of intellectual property developed pursuant to the
14 contract when the intellectual property is developed in whole
15 or in part using federal funding.

16 18. A provision that limits the time in which the department
17 or a supported entity may bring a legal claim under the
18 contract to a period shorter than that provided in Iowa law.

19 19. A boilerplate provision included in transactional
20 documents received by the department or a supported entity that
21 seeks to alter the terms of the contract or to impose new terms
22 in the contract.

23 Sec. 4. NEW SECTION. 8.95 Contracts — required terms.

24 All of the following provisions shall be deemed to be
25 included in a contract entered into by the department or a
26 supported entity under this subchapter:

27 1. *Governing law.* The contract shall be governed by
28 the laws of the state of Iowa, without giving effect to any
29 conflicts of law principles of Iowa law that may require the
30 application of another jurisdiction's law.

31 2. *Venue.* Any litigation commenced in connection with the
32 contract shall be brought and maintained in an appropriate
33 state or federal court sitting in Iowa.

34 Sec. 5. NEW SECTION. 8.96 Contracts — limitation of
35 liability — prohibited terms.

1 Notwithstanding section 8A.311, subsection 22, and rules
2 adopted pursuant to that subsection, the director may include
3 a contractual limitation of vendor liability in information
4 technology goods and services contracts. A contractual
5 limitation of vendor liability must take into consideration the
6 public interest and the mitigation of risks associated with the
7 use of information technology goods or services. Any portion
8 of a contractual limitation of vendor liability that includes
9 a repudiation of all liability for cybersecurity incidents or
10 a limitation on the vendor's liability for intentional torts,
11 criminal acts, fraudulent conduct, intentional or willful
12 misconduct, gross negligence, death, bodily injury, damage to
13 real or personal property, intellectual property violations,
14 liquidated damages, compliance with applicable laws, violations
15 of confidential information obligations, or contractual
16 obligations of the vendor pertaining to indemnification shall
17 be void as a matter of law as contrary to public policy. A
18 contractual limit of vendor liability that does not apply
19 equally to the contracted parties or that limits a vendor's
20 liability to less than the contract value inclusive of all
21 possible extensions is void as a matter of law as contrary to
22 public policy.

23 Sec. 6. NEW SECTION. **8.97 Confidentiality of communications**
24 **with chief information security officer.**

25 In the interest of facilitating communication between
26 the chief information security officer and other entities
27 concerning security incidents and security breaches, all such
28 communications and any documents generated based in whole or in
29 part on such communications are confidential. Notwithstanding
30 chapter 22 or any other provision of law to the contrary, the
31 department shall not release such communications pursuant to
32 state open records laws, and such communications shall not be
33 received into evidence, subject to discovery, or otherwise
34 used in a trial, hearing, or other proceeding in or before any
35 court, regulatory body, or other authority of the state or a

1 political subdivision of the state, unless the communications
2 are subject to a protective order that prohibits further
3 disclosure of such communications and requires any court
4 filings of such communications to be made under seal. It is
5 the intent of the general assembly that these prohibitions and
6 restrictions also apply to federal courts, regulatory bodies,
7 and other authorities and for purposes of federal open records
8 laws, to the extent allowed by federal law and court rules.
9 The chief information security officer shall not release such
10 communications other than for any of the following purposes:
11 1. Identifying a cybersecurity threat, including the source
12 of the cybersecurity threat, or a security vulnerability, and
13 then only to government officials for purposes of addressing
14 the threat.
15 2. Responding to, or otherwise preventing or mitigating,
16 a specific threat of death, serious bodily harm, or serious
17 economic harm.
18 3. Responding to, investigating, prosecuting, or otherwise
19 preventing or mitigating a serious threat to a minor, including
20 sexual exploitation and threats to physical safety.
21 4. Preventing, investigating, disrupting, or prosecuting an
22 offense under state or federal law.
23 5. Providing a confidential cybersecurity briefing to the
24 governor or a member of the general assembly.
25 Sec. 7. NEW SECTION. **8.98 Criminal justice information.**
26 1. The department is authorized to maintain an integrated
27 information system that enables automated data sharing among
28 the executive branch, judicial branch, and local agencies.
29 2. The department is designated as the Iowa statistical
30 analysis center for the purpose of coordinating with data
31 resource agencies to provide data and analytical information
32 to federal, state, and local governments. Notwithstanding any
33 other provision of state law to the contrary, unless prohibited
34 by federal law or regulation, the department shall be granted
35 access, for purposes of research and evaluation, to all of

1 the data listed in this subsection, except that intelligence
2 data and peace officer investigative reports maintained
3 by the department of public safety shall not be considered
4 data for the purposes of this section. The department of
5 management and any record, data, or information obtained by the
6 department under this subsection is subject to the federal and
7 state confidentiality laws and rules, including as described
8 in chapter 22, applicable to the original record, data, or
9 information, and to the original custodian of the record,
10 data, or information. Authorized access under this subsection
11 includes but is not limited to all of the following:

- 12 *a.* Juvenile court records and all other information
13 maintained under sections 232.147 through 232.151.
- 14 *b.* Child abuse information under sections 235A.15 through
15 235A.19.
- 16 *c.* Dependent adult abuse records maintained under chapter
17 235B.
- 18 *d.* Criminal history data maintained under chapter 692.
- 19 *e.* Sex offender registry information maintained under
20 chapter 692A.
- 21 *f.* Presentence investigation reports maintained under
22 section 901.4.
- 23 *g.* Corrections records maintained under sections 904.601 and
24 904.602.
- 25 *h.* Community-based correctional program records maintained
26 under chapter 904.
- 27 *i.* Parole records maintained under chapter 906.
- 28 *j.* Deferred judgment, deferred or suspended sentence, and
29 probation records maintained under chapter 907.
- 30 *k.* Violation of parole or probation records maintained under
31 chapter 908.
- 32 *l.* Fine and victim restitution records maintained under
33 chapters 909 and 910.
- 34 *m.* Child welfare records maintained under chapter 235.
- 35 3. The department is authorized to provide data analysis and

1 reporting on issues that may affect the state's correctional
2 population and various subgroups of the population. This
3 reporting may include the review of filed, public legislative
4 bills, joint resolutions, and amendments, and compiling
5 criminal justice data for completion of correctional impact
6 statements under section 2.56, racial impact statements, and an
7 annual prison population forecast.

8 4. The department is authorized to maintain a multiagency
9 information system to track the progress of juveniles and
10 adults who have been charged with a criminal offense in
11 the court system through various state and local agencies
12 and programs. This system must utilize existing databases,
13 including the Iowa court information system, the Iowa
14 corrections offender network, the child welfare information
15 system of the department of health and human services,
16 the federally mandated national adoption and foster care
17 information system, and other state and local databases
18 pertaining to juveniles and to adults who have been charged
19 with a criminal offense in the court system, to the extent
20 practicable.

21 5. The multiagency information system is authorized to
22 count and track decision points for juveniles in the juvenile
23 justice system and minors in the child welfare system, evaluate
24 the experiences of the juveniles and minors, and evaluate
25 the success of the services provided. The system is also
26 authorized to count and track decision points for adults who
27 have been charged with a criminal offense in the court system,
28 including but not limited to dismissed charges, convictions,
29 deferred judgments, and sentence information.

30 6. If the department has insufficient moneys or resources
31 to implement this section, the department is authorized to
32 determine which portion of this section may be implemented, if
33 any, and the remainder of this section shall not apply.

34 Sec. 8. NEW SECTION. **8.99 Confidentiality of data.**

35 1. For purposes of chapter 22, the department shall not be

1 deemed to be the lawful custodian of records the department
2 maintains for another department or establishment under this
3 subchapter, to the extent the records in question are held
4 by the department as an automated data processing unit of
5 government or held by the department solely for storage for
6 another department or establishment. Such records include but
7 are not limited to all of the following:

8 a. Electronic messaging system data.

9 b. Mainframe data.

10 c. Storage solutions or other electronic information, such
11 as on-premises server data storage and cloud data storage.

12 2. If the department receives a request pursuant to chapter
13 22 for records over which the department has determined it is
14 not the lawful custodian, the department shall deny the request
15 and inform the requester to seek the information from the
16 lawful custodian as provided in chapter 22. The department's
17 determination that it is not the lawful custodian of records is
18 presumed valid. The presumption may be rebutted by clear and
19 convincing evidence to the contrary.

20 3. The department shall provide assistance to the lawful
21 custodian of records held by the department so that the lawful
22 custodian can comply with the production obligations of chapter
23 22.

24 4. If the department receives a subpoena in an
25 administrative, civil, or criminal case for records for which
26 the department is not the lawful custodian, the department
27 shall notify the lawful custodian and the attorney general's
28 office and cooperate in any efforts to resist the subpoena.

29 Sec. 9. Section 216A.131A, Code 2025, is amended to read as
30 follows:

31 **216A.131A Criminal and juvenile justice planning.**

32 The department shall fulfill the responsibilities of
33 this subchapter, including the duties specified in sections
34 216A.133, 216A.135, ~~216A.136~~, ~~216A.137~~, ~~216A.138~~, and 216A.140.

35 Sec. 10. Section 216A.133, subsection 1, paragraphs d, e, f,

1 l, and t, Code 2025, are amended by striking the paragraphs.

2 Sec. 11. Section 216A.133, subsection 1, paragraph q,
3 subparagraphs (1) and (6), Code 2025, are amended by striking
4 the subparagraphs.

5 Sec. 12. Section 216A.133, subsection 1, paragraph s, Code
6 2025, is amended to read as follows:

7 s. Provide expertise and advice to the legislative
8 services agency, the department of management, the department
9 of corrections, the judicial branch, and others charged
10 with formulating fiscal, correctional, or minority impact
11 statements.

12 Sec. 13. Section 216A.135, subsection 2, paragraph e, Code
13 2025, is amended by striking the paragraph.

14 Sec. 14. Section 232.147, subsection 2, paragraph i, Code
15 2025, is amended to read as follows:

16 i. The statistical analysis center for the purposes stated
17 in [section 216A.136 8.98](#).

18 Sec. 15. Section 232.147, subsection 3, paragraph n, Code
19 2025, is amended to read as follows:

20 n. The statistical analysis center for the purposes stated
21 in [section 216A.136 8.98](#).

22 Sec. 16. Section 232.147, subsection 4, paragraph i, Code
23 2025, is amended to read as follows:

24 i. The statistical analysis center for the purposes stated
25 in [section 216A.136 8.98](#).

26 Sec. 17. Section 232.149, subsection 5, paragraph f, Code
27 2025, is amended to read as follows:

28 f. The statistical analysis center for the purposes stated
29 in [section 216A.136 8.98](#).

30 Sec. 18. Section 232.149A, subsection 3, paragraph m, Code
31 2025, is amended to read as follows:

32 m. The statistical analysis center for the purposes stated
33 in [section 216A.136 8.98](#).

34 Sec. 19. Section 513C.10, subsection 1, paragraph a, Code
35 2025, is amended to read as follows:

1 a. All persons that provide health benefit plans in this
2 state including insurers providing accident and sickness
3 insurance under chapter 509, 514, or 514A, whether on an
4 individual or group basis; fraternal benefit societies
5 providing hospital, medical, or nursing benefits under chapter
6 512B; and health maintenance organizations, other entities
7 providing health insurance or health benefits subject to state
8 insurance regulation, and all other insurers as designated
9 by the board of directors of the Iowa comprehensive health
10 insurance association with the approval of the commissioner
11 shall be members of the association. However, the state,
12 including an institution under the control of the state board
13 of regents, shall not be a member of the association.

14 Sec. 20. REPEAL. Sections 216A.136, 216A.137, and
15 216A.138, Code 2025, are repealed.

16 Sec. 21. EFFECTIVE DATE. The following, being deemed of
17 immediate importance, takes effect upon enactment:

18 The section of this Act amending section 513C.10, subsection
19 1, paragraph "a".

20 Sec. 22. EFFECTIVE DATE. The following take effect July 1,
21 2026:

22 The portions of the section of this Act amending section
23 8.57C, subsections 2 and 4.

24 Sec. 23. APPLICABILITY. The following apply to contracts
25 entered into or renewed on or after July 1, 2025:

26 1. The section of this Act enacting section 8.94.

27 2. The section of this Act enacting section 8.95.

28 3. The section of this Act enacting section 8.96.

29 Sec. 24. RETROACTIVE APPLICABILITY. The following applies
30 retroactively to January 1, 2020:

31 The section of this Act amending section 513C.10, subsection
32 1, paragraph "a".>

33 2. Title page, by striking lines 1 through 2 and inserting
34 <An Act relating to state government, including matters
35 under the purview of the department of management and state

1 membership in the Iowa individual health benefit reinsurance
2 association, and including effective date, applicability, and
3 retroactive>

MIKE BOUSSELOT